

The Complete Financial Guide for Young Couples

inflation, and over the next 10 it will be either inflation or the threat of depression—or perhaps both. Our primary weapon in fighting a depression is the expansion of credit, which leads a full circle back to inflation again.

So for the years 1990-2000, prudent investors who would like their resources to be available in the next decade must hedge both possibilities—inflation and depression.

In a noninflationary economy, you can put your money in a treasury bill or certificate of deposit and stay even with the economy. But in an inflationary economy, unless you have your money at risk in things that are being inflated with the economy, your buying capacity is eroded.

For example, during the '70s, the most inflation-vulnerable investments were primarily stocks, bonds, savings accounts, treasury bills, and most other “near-cash” investments. Stocks proved vulnerable primarily because the inflation growth went to the real estate markets. The mid '80s saw the stock market recover some of the earlier inflationary growth, but only at the price of great volatility.

The most inflation-proof investments over several decades have been real assets: things that you can use and touch such as land, metals, apartment buildings, or houses. During the periods where inflation and interest rates are down, many of the paper investments, like stocks and bonds, do very well. During this time people tend to forget about inflation. That can be a costly mistake in a debt-run economy. When inflation turns around and interest rates increase to combat it, years of growth can be wiped out in a few months.

30 KEY #8: FOCUS ON WHAT YOU OWN

In 1975 I was counseling many people who were wiped out during an economic downturn in the Atlanta area. Many were men who had a significant net worth. And if you looked at them on paper, they looked great financially. Unfortunately, most of their assets were tied up in liabilities and were illiquid.